ISSUER USE OF DERIVATIVES

Learning Outcome

- compare the use of derivatives among issuers and investors

Issuers, investors, and financial intermediaries use derivative instruments to increase, decrease, or modify exposure to an underlying to meet their financial objectives. Financial analysts must gain a deeper understanding of the various uses of derivatives among market participants in order to interpret and replicate the wide range of strategies encountered in practice.

Non-financial corporate issuers often face risks to their assets, liabilities, and earnings as a result of changes in the price of an underlying. For example, a corporate issuer that uses a traded commodity in its operations will face greater earnings volatility due to input price changes. The additional earnings volatility has the potential to increase the corporate issuer's cost of borrowing as well as to create difficulties for investors to estimate its future corporate earnings. The impact of foreign exchange volatility on corporate issuer earnings is illustrated by extending an earlier example.

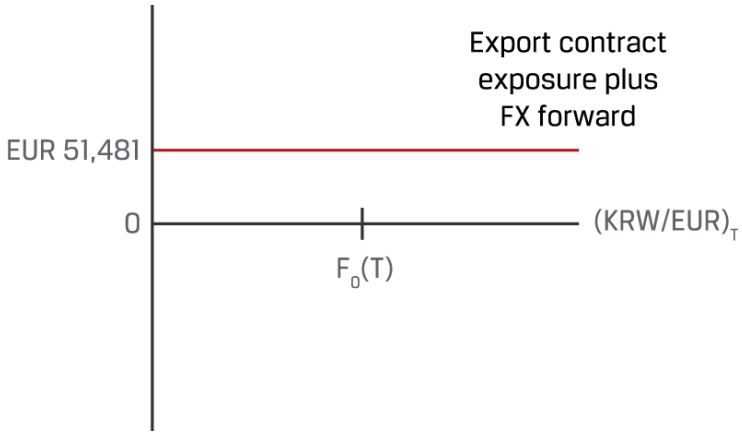
EXAMPLE 6

Foreign Exchange Risk and Earnings Volatility

Recall from Example 1 that Montau AG will deliver a laser cutting machine for KRW650,000,000 in 75 days and has hedged its FX exposure by agreeing to sell the KRW it will receive and purchase EUR upon delivery in an over-the-counter FX forward with a financial intermediary.

Montau agrees to a KRW/EUR forward exchange rate [$F_0(T)$] of 1,350 (i.e., 1,350 KRW = 1 EUR), at which it will sell 650,000,000 KRW and receive 481,481 EUR (650,000,000/1,350) in 75 days. The production manager estimates the machine's cost to be €430,000. Montau's Treasury manager compiles the following profit margin scenarios at different KRW/EUR spot rates (S_T):

Spot KRW/EUR (s_T)	Unhedged EUR Proceeds	Unhedged Profit Margin	Hedged EUR Proceeds	Hedged Profit Margin
1,525	€426,230	−1%	€481,481	11%
1,400	€464,286	7%	€481,481	11%
1,280	€507,813	15%	€481,481	11%
1,225	€530,612	19%	€481,481	11%



If Montau does not hedge its KRW/EUR exposure, its profit margin will fluctuate based on the KRW/EUR spot rate when the machine is delivered. A weaker KRW versus EUR results in a lower profit margin, while KRW appreciation results in a higher profit margin.

Example 6 illustrates one of the most common derivative strategies used by corporate issuers. The FX forward payoff offsets Montau's income statement and cash flow volatility due to currency changes.

Derivatives accounting has evolved from off-balance-sheet treatment to the reporting of these instruments on the balance sheet at their fair market value. This change aligns the recognition of derivative gains and losses with their designated risk management purpose, increasing transparency and disclosure of derivatives use. Many corporate issuers also establish risk management policies governing the objectives, guidelines, risk limits, and internal approval processes associated with derivatives use.

Derivatives accounting standards specify that any derivative purchased or sold must be marked to market through the income statement via earnings unless it is embedded in an asset or liability or qualifies for **hedge accounting**. Hedge accounting allows an issuer to offset a hedging instrument (usually a derivative) against a hedged transaction or balance sheet item to reduce financial statement volatility. Categorizing derivatives by hedge designation type sheds further light on both their intent and their expected financial statement impact, to the benefit of financial analysts and stakeholders.

For example, derivatives designated as absorbing the variable cash flow of a floating-rate asset or liability such as foreign exchange, interest rates, or commodities are referred to as **cash flow hedges**. Cash flow hedges may be either forward commitments or contingent claims. For instance, the FX forward in Example 6 is a cash flow hedge that offsets the variability of Montau's functional currency (EUR) proceeds from its commercial transaction in KRW. A swap to a fixed rate for a floating-rate debt liability is another example of a cash flow hedge.

A **fair value hedge** designation applies when a derivative is deemed to offset the fluctuation in fair value of an asset or liability. For example, an issuer might convert a fixed-rate bond issuance to a floating-rate obligation by entering into an interest rate swap to receive a fixed rate and pay a market reference rate through the bond's maturity. Alternatively, a commodities producer might sell its inventory forward in anticipation of lower future prices.

Net investment hedges occur when either a foreign currency bond or a derivative such as an FX swap or forward is used to offset the exchange rate risk of the equity of a foreign operation. Exhibit 4 summarizes these hedge designations.

Exhibit 4:

Hedge Type	Description	Examples
Cash Flow	Absorbs variable cash flow of floating-rate asset or liability (forecasted transaction)	Interest rate swap to a fixed rate for floating-rate debt FX forward to hedge forecasted sales
Fair Value	Offsets fluctuation in fair value of an asset or liability	Interest rate swap to a floating rate for fixed-rate debt Commodity future to hedge inventory
Net Investment	Designated as offsetting the FX risk of the equity of a foreign operation	Currency swap Currency forward

Hedge accounting treatment for derivatives is highly desirable for corporate issuers, as it allows them to recognize derivative gains and losses at the same time as the associated underlying hedged transaction. Derivative mark-to-market changes are held within an equity account (Other Comprehensive Income) and released at the same time the underlying hedged transaction is recognized in earnings.

In order to qualify for this treatment, the dates, notional amounts, and other contract features of a derivative must closely match those of the underlying transaction. For this reason, issuers are far more likely to use OTC markets to create customized hedges to meet their specific needs. For example, Montau AG would face earnings volatility from the derivative position if it were to use a standardized two-month foreign exchange futures contract rather than the 75-day over-the-counter FX forward contract with a financial intermediary, as in Example 6.

Question Set: Issuer Use of Derivatives

1. Describe hedge accounting treatment.

Hide Solution

Solution:

Hedge accounting allows an issuer to offset a hedging instrument (usually a derivative) against a hedged transaction or balance sheet item to reduce financial statement volatility.

2. Match these hedge designation types to the following statements:

A. Cash flow hedge	1. A derivative used to offset the fluctuation in fair value of an asset or liability
B. Fair value hedge	2. A derivative designated as absorbing the variable cash flow of a floating-rate asset or liability
C. Net investment hedge	3. A derivative designated as offsetting the foreign exchange risk of the equity of a foreign operation

Hide Solution

Solution:

1. The correct answer is B. A fair value hedge is a derivative used to offset the fluctuation in fair value of an asset or liability.
2. The correct answer is A. A cash flow hedge is a derivative designated as absorbing the variable cash flow of a floating-rate asset or liability.
3. The correct answer is C. A net investment hedge is a derivative designated as offsetting the foreign exchange risk of the equity of a foreign operation.

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Solution:

An issuer might convert a fixed-rate bond issuance to a floating-rate obligation by entering into an interest rate swap to receive a fixed rate and pay a market reference rate through the bond's maturity. Alternatively, a commodities producer might sell its inventory forward in anticipation of lower cash prices in the future.

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